PROJECT FILE

Anti-Money Laundering and Know Your Customer

The concepts, the rules, the controls and real cases, explained in simple language

Subject Financial crime compliance
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Glossary

1. Introduction

Banks move money for millions of people every day. Most of it is ordinary: salaries, rent, shopping. A small part is not. Criminals who earn money from drugs, fraud, corruption or tax evasion need to make that money look clean before they can spend it. Anti-money laundering (AML) is the set of laws, checks and habits that banks and other businesses use to stop this.

Know Your Customer (KYC) is the front door of AML. Before a bank does business with someone, it must find out who they are, what they do and why they want the account. Without that, nothing else in the AML system works.

I wrote this file to understand the whole subject properly, from the basic idea to the rules in different countries, and to see how it plays out in real cases such as Goldman Sachs and 1MDB.

2. What Money Laundering Is

Money laundering means hiding the criminal source of money so it can be used freely. The crime that produces the money, such as drug dealing or bribery, is called the predicate offence. Laundering is a separate crime on top of it. Experts describe it as three stages.

1. Placement	2. Layering	3. Integration
Dirty money enters the financial system, for example through cash deposits	The money is moved around many times to hide its trail	The money comes back looking legal, for example as a business profit or a property

Stage	Simple example	What a bank can notice
Placement	A person deposits lots of small cash amounts in many branches	Cash just under reporting limits, many deposits in a short time
Layering	The money is wired between several companies in different countries	Fast movement, no clear business reason, shell companies
Integration	The money is used to buy a flat or is shown as income from a business	Large payments that do not match the customer's known income

Banks are most useful at the placement and layering stages, because that is when money touches their systems. That is why the rules focus on knowing the customer and watching their transactions.

3. AML, KYC, CDD and CFT: The Terms

People often use these words as if they mean the same thing. They do not. Here is how they fit together.

Term	Meaning	How it fits
AML	Anti-money laundering. All the laws and controls to stop dirty money	The big umbrella
CFT	Countering the financing of terrorism. Stops money, often clean money, from reaching terrorists	Usually written together: AML/CFT
KYC	Know your customer. Learning who the customer is	The first part of AML
CDD	Customer due diligence. Identify, verify, understand the customer and keep checking	What KYC means in legal language
EDD	Enhanced due diligence. Extra checks for high-risk customers	CDD turned up a level
Sanctions screening	Checking customers and payments against lists of banned people, firms and countries	Related to AML but a separate legal duty

> **A point that surprises many people**
>
> Terrorist financing works differently from money laundering. Laundering cleans dirty money. Terrorist financing often moves small amounts of clean money towards a dirty purpose. The controls overlap (identity checks, watching unusual transfers), which is why the two are handled together.

4. Who Sets the Rules

The global standard: FATF

The Financial Action Task Force (FATF) is the international body that sets AML and counter-terrorist-financing standards. It does not make laws itself. It publishes 40 Recommendations that countries are expected to turn into national law. The standards were substantially strengthened in 2012, with more weight on customer due diligence, beneficial ownership, cross-border wire transfers and the risk-based approach.

Three ideas from FATF run through everything else in this file:

- **Know who you deal with.** Banks must identify and verify the customer, and find the real people who own or control a company (Recommendation 10 covers customer due diligence).
- **Use a risk-based approach.** Rules should match the level of risk. High-risk customers get more attention and low-risk ones get less.
- **Countries are checked too.** Countries are assessed on whether their rules work in practice. Weak countries can be put on FATF's public lists, and dealing with them is treated as higher risk.

The risk-based approach in plain words

A bank cannot check every customer in the same depth. So it sorts customers by risk. A salaried employee with a basic savings account needs light checks. A foreign company with a complicated ownership chain, moving large sums to another country, needs a lot more. The bank puts its time where the danger is.

5. KYC Step by Step

Every bank has its own procedure, but the main steps are the same everywhere.

1. Identify	2. Verify	3. Understand	4. Rate the risk	5. Monitor
Collect name, date of birth, address, ID number	Check the details against reliable documents or databases	Find out the purpose of the account and expected activity	Low, medium or high based on who, where and what	Keep checking and refresh the file regularly

The US rule makes the idea of "understanding the customer" explicit: a bank must understand the nature and purpose of each customer relationship and keep information up to date through periodic reviews. India's KYC rules also require records to be kept for at least five years.

How much checking each customer gets

Level	Who it usually applies to	What the bank does
Simplified due diligence	Very low-risk customers, such as small basic accounts	Lighter checks and simple documents
Standard CDD	Most ordinary customers	Full identification, verification, purpose of account
Enhanced due diligence	High-risk customers: PEPs, complex companies, high-risk countries	Source of wealth checks, senior approval, closer monitoring

Two terms are easy to mix up. Source of funds is where the money for one particular transaction came from. Source of wealth is how the customer built their overall wealth. For high-risk customers, banks look at both.

6. Beneficial Ownership

A company is a legal person, not a human. Behind it are real people who own it or control it. These are called the beneficial owners. Criminals like companies and trusts because they can hide behind them, so banks must look through the structure to the individuals.

In the US, the Customer Due Diligence rule, effective from 2018, requires a bank to identify and verify the beneficial owners of a company when it opens an account. A beneficial owner is defined in two ways: any individual who owns 25 percent or more of the company, and one individual who has significant control over it. The EU's new rules also use a 25 percent test.

> **Example of how it works**
>
> A company is owned 40% by Person A, 35% by Company X and 25% by Person B. The bank identifies Person A and Person B (both at or above 25%). It must then look inside Company X to find who owns that, and also name someone who controls the business day to day, even if they own nothing.

This is exactly the weakness in the 1MDB case: a man with no official role was involved in the deals, and the money moved through companies that hid where it was going.

7. PEPs and Enhanced Due Diligence

A politically exposed person (PEP) is someone in a senior public role, such as a minister, a senior judge or an executive of a state company. Family members and close associates are usually covered too. PEPs are not criminals. They are simply in a position where bribery and corruption are more likely, so banks look at them more carefully.

FATF says foreign PEPs always need enhanced due diligence. In India, if the customer is a PEP, the RBI's KYC rules require enhanced due diligence and approval from senior management. In practice, EDD usually means:

- Asking where the person's wealth and the funds really come from.
- Getting approval from a senior person before opening or continuing the relationship.
- Watching the account more closely and reviewing it more often.
- Checking news and public records for any adverse information (called adverse media screening).

8. Sanctions Screening

Sanctions are legal bans on dealing with certain people, companies or countries. They are issued by bodies such as the United Nations, the US Treasury's OFAC and the EU. Screening means checking customers, owners and payments against these lists, both when the customer joins and continuously afterwards. India's KYC direction also requires regulated entities to screen against sanctions lists on a daily basis.

Sanctions screening is related to AML but is not the same thing. AML is about where money came from. Sanctions are about who you are allowed to deal with at all, whatever the money's origin. Under the US 50 percent rule, a company owned 50 percent or more by a sanctioned person is treated as blocked too, so beneficial ownership matters here as well.

The hard part is accuracy. Names are spelled in different ways and many people share the same name, so screening systems throw up many false alerts that analysts must clear by hand.

9. Transaction Monitoring and Red Flags

Knowing the customer at the start is not enough. A bank must keep watching what the account does. Software compares transactions against rules (for example, cash above a limit) and against the customer's normal pattern. When something looks odd it creates an alert. An analyst reviews the alert, and if it stays suspicious, a report goes to the authorities.

Red flag	What it looks like	Why it matters
Structuring (smurfing)	Many deposits kept just under a reporting limit	Trying to avoid being reported
Rapid movement	Money in and straight out again within hours	Typical of layering
Shell companies	Payments to firms with no real business or hidden owners	Hides who benefits
Mismatch with profile	A student account receiving huge transfers	Activity does not fit what the bank knows
High-risk countries	Frequent transfers to places with weak controls	Higher chance of illicit funds
Unusual fees or pricing	Payments far above market value for a service or trade	Can hide a bribe or move value
Staff bypassing controls	Employees avoiding or overriding checks	Controls only work if people follow them

Tipping off is a serious offence. Once a suspicious report is filed, staff must not tell the customer. India's KYC rules even allow a bank to file a suspicious report instead of completing due diligence if it believes doing the checks would alert the customer.

10. Reporting Duties

When a bank sees something suspicious, it must report it to the country's financial intelligence unit. These reports are the raw material for investigations. The main ones are below. Figures can change, so these should always be checked against the current rule.

Report	Where	Key points
Suspicious Activity Report (SAR)	USA (FinCEN)	Generally filed within 30 calendar days of detecting the facts; records kept 5 years
Currency Transaction Report (CTR)	USA	Required for cash transactions over $10,000, filed within 15 days
Suspicious Transaction Report (STR)	India (FIU-IND)	Filed within 7 working days of the bank being satisfied it is suspicious
Cash Transaction Report (CTR)	India (FIU-IND)	Monthly report of cash transactions above Rs 10 lakh
Cash limit and ID	EU (from 10 July 2027)	Cash payments capped at €10,000; customer identification required from €3,000

11. Rules in Four Regions

Region	Main laws and bodies	Points worth knowing
Global	FATF 40 Recommendations	The standard that most national laws copy; risk-based approach is central

Region	Main laws and bodies	Points worth knowing
USA	Bank Secrecy Act (1970), USA PATRIOT Act, FinCEN	CDD rule requires beneficial owner identification at 25%; SAR and CTR reporting; CDD described as a fifth pillar of the AML programme
European Union	AML Regulation (EU) 2024/1624, sixth AML Directive, new authority AMLA in Frankfurt	Single rulebook from 10 July 2027; €10,000 cash cap; CDD for occasional transactions from €10,000 instead of €15,000
India	Prevention of Money Laundering Act 2002; RBI Master Direction on KYC, 2016 (updated August 2025); FIU-IND	Applies to banks and other RBI-regulated entities; risk-based CDD, PEP checks, STR/CTR reporting, records kept five years, daily sanctions screening

The details differ, but the pattern is the same everywhere: identify the customer, find the real owners, rate the risk, watch the account, report suspicion, keep records.

12. How a Bank Organises its AML Work

In the US, an AML programme has traditionally had four pillars: internal policies and controls, a designated compliance officer, ongoing staff training, and independent testing. The CDD rule added customer due diligence as a fifth pillar. Banks also usually think in three lines of defence.

Line	Who	Job
First line	Relationship managers and front-office staff	Know the customer and follow the procedures every day
Second line	Compliance and AML teams	Set the rules, monitor, investigate alerts, file reports
Third line	Internal audit	Test independently whether the first two lines really work

The model only works if each line is honest and independent. In the 1MDB case, front-office bankers worked around compliance. In the TD Bank case, internal audit raised the alarm repeatedly, but management did not fix the problems.

13. Data, Technology and Analytics

Modern AML is a data problem. A large bank may process millions of transactions a day and the number of true criminal cases is tiny. The work is finding them without drowning in false alerts.

- **Rule-based monitoring.** Rules written as scenarios, such as “cash deposits above X in Y days”. They are simple and easy to explain, but criminals learn to stay just under them.
- **Behaviour and machine-learning models.** Models that learn what normal looks like for each customer and flag the unusual. They can find new patterns but are harder to explain to regulators.
- **Managing false positives.** Most alerts turn out to be harmless. Teams track measures such as how many alerts become real reports, how long reviews take and how often rules need tuning.
- **Data quality.** Poor customer data breaks everything. Missing owners, spelling differences and duplicate records all weaken screening and monitoring.

> **Lesson from TD Bank**
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> US authorities said the bank added no new transaction monitoring scenarios and made no material changes to existing ones from at least 2014 to late 2022, and launched new products without making sure monitoring covered them. A system that is never reviewed becomes blind over time.

14. A Worked Example

To see how the pieces connect, here is a made-up customer followed from onboarding to a report. The names and numbers are invented.

Stage	What happens	AML idea used
Onboarding	A small trading company applies for a business account. Its owners are a person, Mr. Rao (60%), and an overseas company (40%)	CDD and beneficial ownership: the bank must look behind the overseas company
Checks	The overseas company turns out to be owned by a government official's relative. Both names are screened against sanctions lists	PEP identification and sanctions screening
Risk rating	The bank rates the customer high risk and asks for source of wealth. A senior manager approves the account	Enhanced due diligence with senior approval
Monitoring	Six months later, many payments just below the cash limit arrive, then leave the same day to a company in another country	Structuring and rapid movement red flags
Investigation	An analyst finds the activity does not match the stated business and cannot be explained	Alert review and decision to escalate
Reporting	The bank files a suspicious report with the financial intelligence unit and does not tell the customer	SAR / STR and the no tipping-off rule

Every control in this chain is something a person or a system must do. If any link is skipped, the whole chain can fail, as the real cases below show.

15. Real Cases

Goldman Sachs and 1MDB (2012 to 2023)

Goldman Sachs arranged three bond deals raising $6.5 billion for Malaysia's state fund 1MDB. Billions were stolen and at least $1 billion was used for bribes. Goldman paid $3.9 billion to Malaysia in 2020 and about $2.9 billion more in a global settlement, and admitted wrongdoing. The KYC lessons: unclear real parties, very high fees, shell companies, a government fund and officials treated as routine, and bankers working around compliance.

TD Bank (2024)

In October 2024 TD Bank pleaded guilty in the US to conspiring to fail to maintain a compliant AML programme and to money laundering conspiracy. It agreed to pay about $3.09 billion in total. US officials said three laundering networks moved more than $670 million through its accounts, and that the bank's transaction monitoring failed to cover more than 90 percent of transactions between January 2018 and April 2024. The regulator capped the bank's US assets at $434 billion. It was reported as the largest penalty ever under the Bank Secrecy Act. The previous record was HSBC's $1.92 billion, linked to Mexican drug cartel money and dealings with sanctioned countries such as Iran.

	Goldman Sachs / 1MDB	TD Bank
Type of failure	Insiders bypassed controls; unclear real parties	Weak transaction monitoring; controls not updated
Money involved	$6.5bn raised; $1bn+ in bribes	$670m+ moved by three networks
Penalty	$3.9bn (Malaysia) plus ~$2.9bn+ (global)	~$3.09bn plus asset cap
Common lesson	Controls on paper are not enough; people and systems must really work	Same

16. Challenges and Trends

- **Virtual assets.** Crypto and virtual-asset businesses are being pulled into the same rules. Under the EU package, crypto-asset service providers must meet the same standard as banks.
- **Digital onboarding.** India allows Aadhaar-based e-KYC and Video KYC, which makes onboarding faster. The challenge is keeping fraud checks strong while the process gets quicker.
- **More harmonisation.** The EU is moving to one directly applicable rulebook and a new supervisor, AMLA, based in Frankfurt.
- **Cost and de-risking.** Strict compliance costs money and adds friction for customers. Some banks respond by closing accounts in risky segments altogether, which can push people out of the formal system.
- **Privacy.** Good checks require personal data, so banks must balance AML duties with privacy laws.

17. Why This Matters for Analysts

AML is not only for compliance officers. Many analyst roles touch it directly or indirectly.

Role	Where AML knowledge helps
Business / Data Analyst	Building and tuning monitoring rules, studying alert data, measuring false positives
Reporting / MIS Analyst	Producing regulatory and management reports, such as counts of alerts and filings, and keeping the numbers accurate
Operations Analyst	Improving KYC onboarding and periodic review processes without losing control quality
Market Research Analyst	Understanding compliance cost and technology trends in financial services

Being able to explain KYC, beneficial ownership and red flags in plain language, and to give a real example like 1MDB or TD Bank, is a useful talking point in an interview for any of these roles.

18. Conclusion

AML and KYC come down to a few simple questions: who is this customer, who really owns the company, does the money make sense, and are we watching it? The rules differ across the US, EU and India, but they all follow the FATF standard and the risk-based approach. The real cases show that the biggest failures are rarely because a rule did not exist. They happen when checks are bypassed, ignored or never updated. Strong AML needs good rules, good data and, above all, people and management who take them seriously.

Quick Revision Sheet

The key points from this file in one place, handy before an interview or exam.

Topic	Remember this
Three stages	Placement, layering, integration
KYC in five steps	Identify, verify, understand, rate the risk, monitor
Beneficial owner	Person with 25% or more ownership, plus someone with control (US CDD rule; EU also uses 25%)
Risk-based approach	More checks for high-risk customers, lighter checks for low-risk ones
PEPs	Enhanced due diligence plus senior management approval
US reporting	SAR within 30 days; CTR for cash over $10,000
India reporting	STR within 7 working days; monthly cash report above Rs 10 lakh; records kept five years
EU from 10 July 2027	Single AML rulebook, €10,000 cash cap, new authority AMLA in Frankfurt
Biggest lesson	Failures come from bypassed, ignored or outdated controls, not from missing rules

Glossary

Term	Meaning
Beneficial owner	The real person who owns or controls a company or account
CTR	Currency transaction report: a report on large cash transactions
FATF	Financial Action Task Force: the global AML standard setter
FIU	Financial intelligence unit: the national body that receives suspicious reports (FinCEN in the US, FIU-IND in India)
Predicate offence	The original crime that produced the dirty money
SAR / STR	Suspicious activity / transaction report
Structuring	Splitting cash into small amounts to avoid a reporting limit
Tipping off	Telling a customer that a suspicious report was made about them